

Factors of Production

Quick Reference Guide



LAND

 Rent

Definition: All natural resources including physical space, minerals, water, forests, and anything that exists in nature before humans do anything with it.

Examples:

- Real estate locations (office buildings, retail space, farmland)
- Natural resources (oil, natural gas, coal, minerals, metals)
- Water (rivers, lakes, oceans, freshwater sources)
- Forests and timber
- Sunlight and wind (for renewable energy)
- Fishing rights, mineral rights, airspace

Payment: RENT

- Monthly apartment/house rent
- Commercial lease payments
- Oil drilling royalties
- Mining rights fees



LABOR

💰 Wages

Definition: All human effort—both physical and mental work applied to production. Includes everything from manual work to intellectual creativity.

Examples:

- **Unskilled Labor:** Entry-level retail, basic food service, manual warehouse work
- **Skilled Labor:** Healthcare professionals, software developers, licensed electricians, financial analysts
- **Professional Labor:** Doctors, lawyers, engineers, teachers
- **Creative Labor:** Artists, writers, designers, musicians

Payment: WAGES/SALARIES

- Hourly wages (e.g., \$15/hour for retail)
- Annual salaries (e.g., \$60,000/year for engineer)
- Commission (salespeople earning % of sales)
- Tips (service industry workers)

Human Capital:

- **Human capital** = skills, knowledge, experience that make workers more productive
- College degree can increase wages by 50-84% compared to high school alone
- Professional certifications boost earning potential by 10-20%



CAPITAL

💰 Interest

Definition: Human-made resources used to produce other goods and services. Includes factories, equipment, tools, and machinery. **NOT money!**

Examples:

- **Physical Structures:** Factories, warehouses, office buildings, data centers
- **Equipment & Machinery:** Assembly line robots, computers, medical equipment, construction machinery
- **Transportation:** Delivery trucks, cargo ships, airplanes, rail cars
- **Tools:** Hand tools, power tools, specialized equipment

Payment: INTEREST

- Businesses borrow money to buy capital equipment and pay interest on loans
- When you save money, banks lend it to businesses—you earn interest
- Typical business loan rates: 5-10% interest

Important: Capital ≠ Money

- ❌ Cash, stocks, bonds are NOT capital (they're financial assets)
- ✅ Factories, computers, trucks ARE capital (physical productive assets)
- Money is used to BUY capital, but money itself doesn't produce anything



ENTREPRENEURSHIP

Profit

Definition: The ability to combine land, labor, and capital in new ways to create value. Involves risk-taking, innovation, and organizing all other factors.

The 4 Roles of an Entrepreneur:

- **1. Risk-Taker:** Invests time and money with uncertain outcomes (20% of businesses fail in year one)
- **2. Innovator:** Creates new products, services, or processes that didn't exist before
- **3. Organizer:** Coordinates land, labor, and capital efficiently to produce output
- **4. Decision-Maker:** Makes choices about what to produce, how to produce, and for whom

Payment: PROFIT (or Loss)

- **Profit** = Total Revenue - (Rent + Wages + Interest + Other Costs)
- Entrepreneurs earn profit ONLY if revenue exceeds costs
- If costs exceed revenue, entrepreneurs take a LOSS
- Profit is the reward for successful risk-taking; loss is the cost of failure

Success Rates:

- 20% of businesses fail in year 1
- 50% fail by year 5
- 65% fail by year 10
- Only 35% survive 10+ years

Quick Reference: All Four Factors

Factor	Definition (Short)	Examples	Payment	Who Earns It?
Land	Natural resources	Real estate, oil, water, timber	Rent	Landowners
Labor	Human effort	Workers, professionals, artists	Wages	Workers
Capital	Tools & equipment	Factories, machines, computers	Interest	Lenders/Investors



Entrepreneurship

Risk & innovation

Business owners, innovators

Profit

Entrepreneurs